SKILLS LEVEL

Advanced Assurance

Total marks: 120

Date: 2 September 2025
Time: 10:00-12:30
Duration: 2 hours 30 minutes

Notes to Candidates:

This paper contains three sections and relevant appendices. Candidates should attempt all three sections.

Please read each section carefully and follow the instructions fully. Candidates who do not provide their responses in the correct format may be penalised.

In submitting this exam, you confirm that your conduct throughout the exam adheres to the ICAS Academic Integrity Policy.

You confirm that you did NOT act in any way that would constitute cheating, misrepresentation or unfairness including, but not limited to, using unauthorised aids and assistance, impersonating another person and committing plagiarism.

You agree that ICAS will check your work for plagiarism, and you confirm that you understand that assessed work that has been shown to have been plagiarised will be penalised.

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SECTION 1 (50 marks)

Ambrosia

You are an audit senior in an audit firm. You are currently at the planning stage of an existing audit client, Ambrosia Auto Ltd (Ambrosia), for the year ending 30 November 2025. Ambrosia is a prominent family-owned car dealership based in the northeast of Scotland.

At a recent planning meeting, the engagement partner emphasised the importance of embedding audit data analytics (ADA) into risk assessment. They specifically identified spare parts inventory, payroll costs, accounts receivable, and revenue as account balances and classes of transactions that would be best suited to ADA-based risk assessment. Your firm's data analytics specialist has provided you with the results of their analysis, performed to 31 August 2025; this is set out in Appendix 1. You have also met with Ambrosia's chief financial officer and discussed the audit plan and current year business performance. Extracts of the commentary from the meeting are in Appendix 2.

You have also been assigned as the audit senior on the audit of Bubble Party Ltd (Bubble). Bubble is a new client that is in the business of children's entertainment. Bubble operates a franchise system across the UK. You have been asked to use the information in Appendix 3 to recommend an overall materiality level and a trivial threshold for Bubble, explaining your reasons.

QUESTIONS:

Question 1

Evaluate the results of the ADA exercise for the purpose of the planning analytical review for Ambrosia.

(14 marks)

Question 2

Evaluate any additional audit risks identified from the review of the information gathered for Ambrosia.

(8 marks)

Question 3

Design substantive procedures in response to the audit risks identified in question 1 and question 2.

(17 marks)

Question 4

Recommend a level for overall materiality and the trivial threshold for Bubble, explaining your reasons.

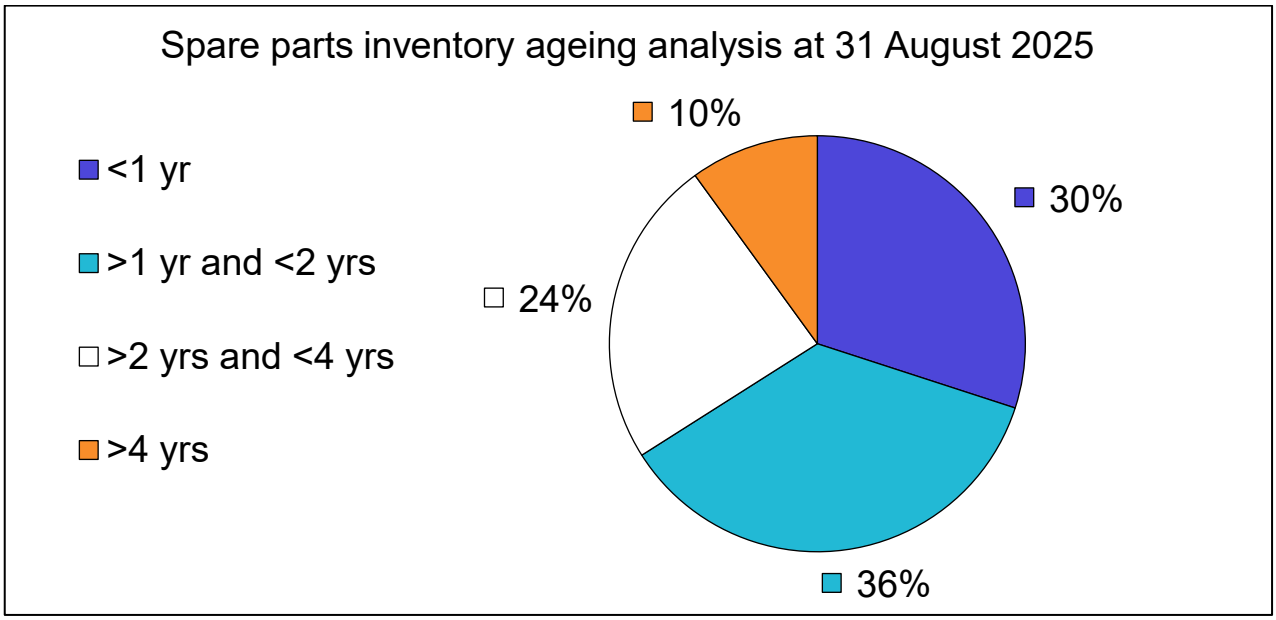
(11 marks)

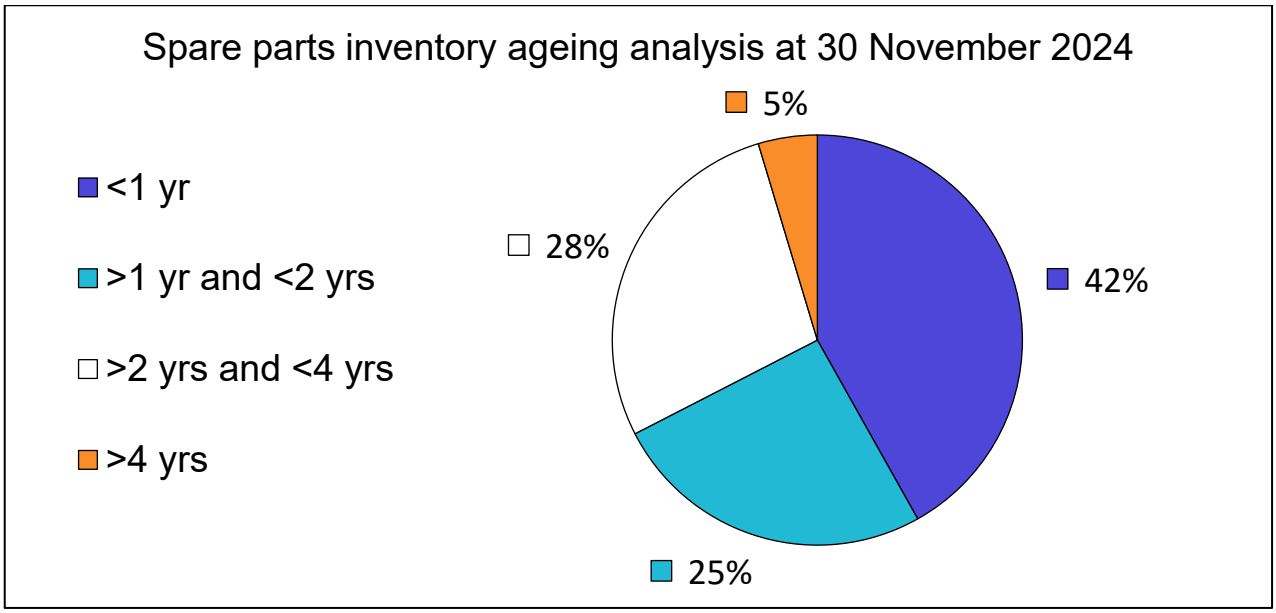
(Total: 50 marks)

APPENDIX 1 (Section 1)

Ambrosia audit data analytics (ADA) results

1. Spare parts inventory ageing analysis

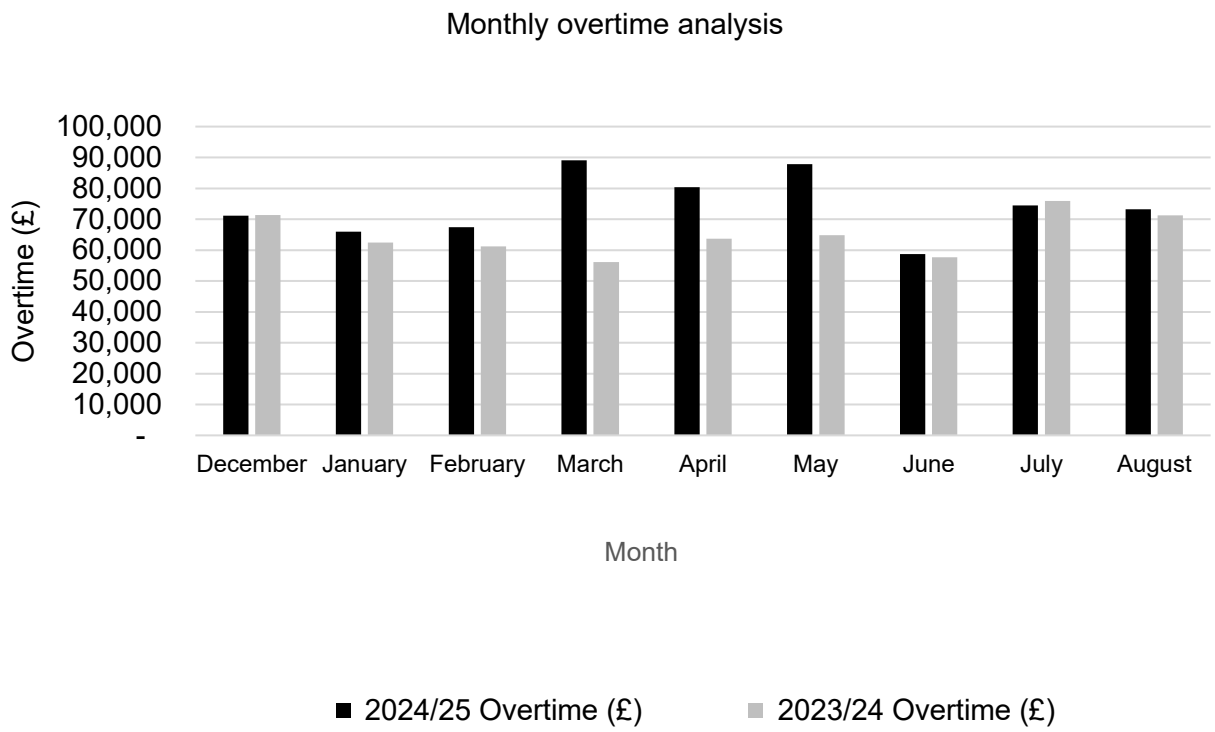




The information in the diagrams above has been collated in the table below:

Ageing Category	August 2025 %	November 2024 %
<1 yr	30%	42%
>1 yr and <2yrs	36%	25%
>2 yrs and <4 yrs	24%	28%
>4 yrs	10%	5%

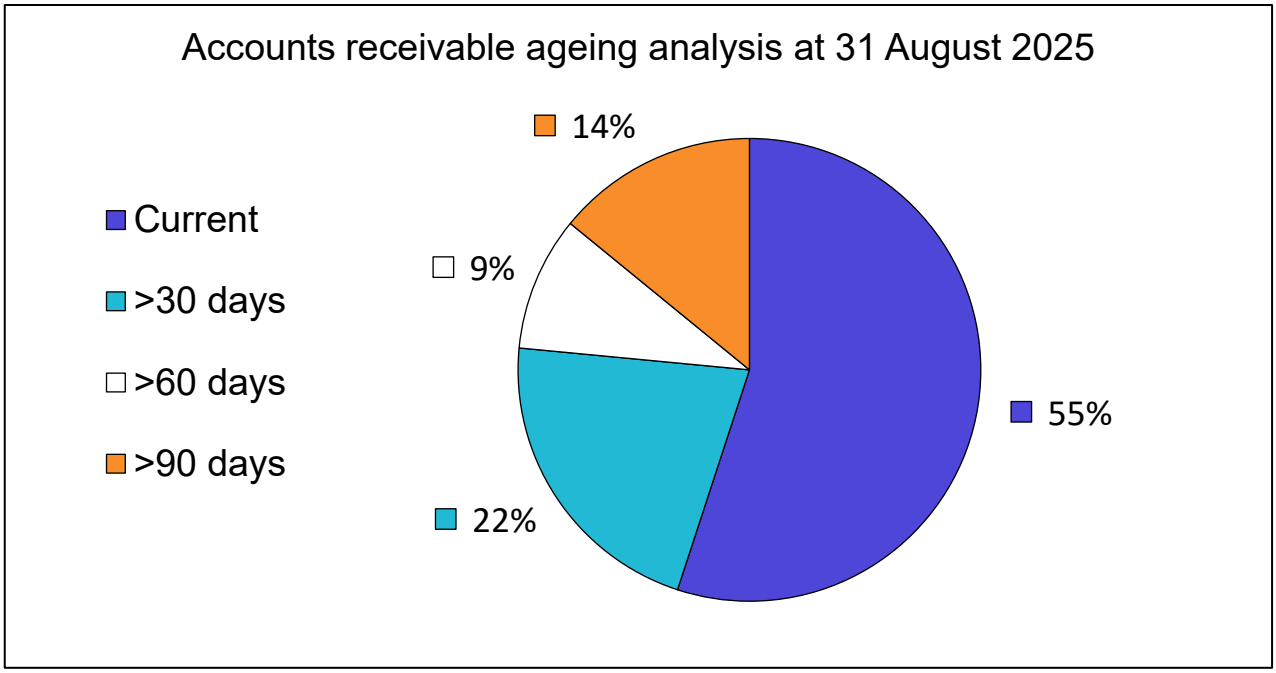
2. Payroll overtime comparison to prior year

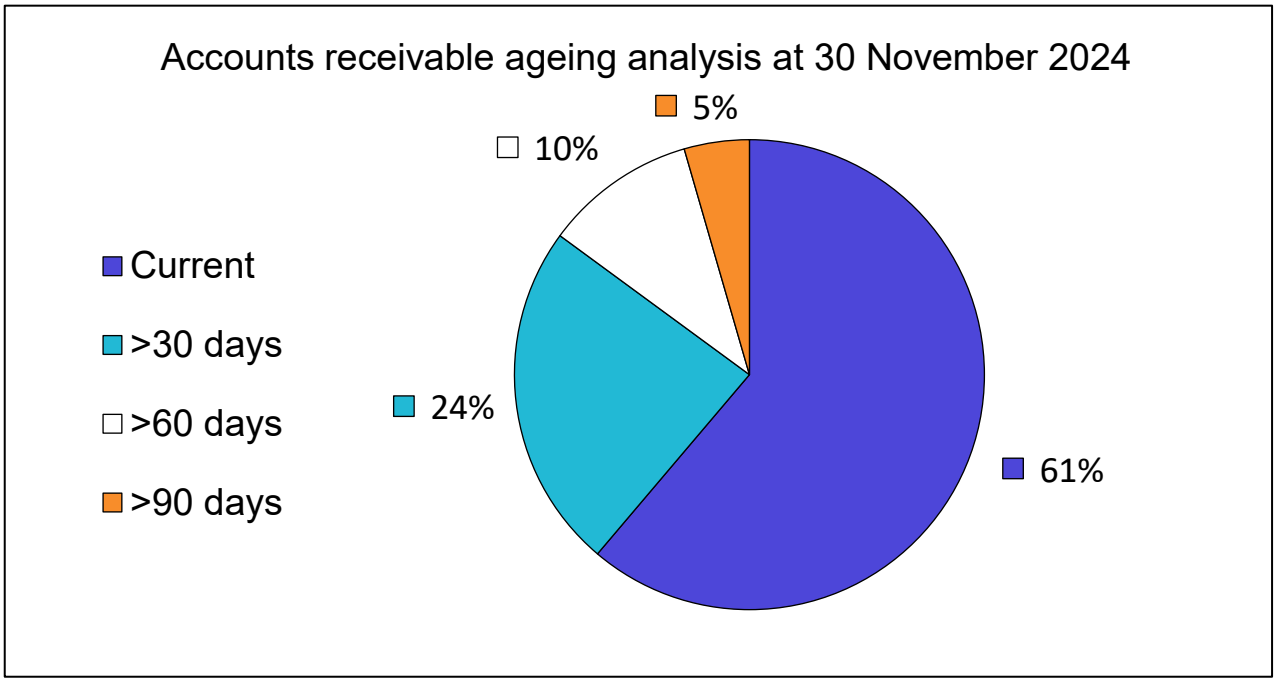


3. Revenue analysis

2025 top five customers	2024 top five customers
1. ACC Automotive Supplier Ltd 2. SHH Truck Rentals Ltd 3. Nor Car Rentals Ltd 4. Van Distributors Ltd 5. Equipment Distributors Ltd	1. ACC Automotive Supplier Ltd 2. SHH Truck Rentals Ltd 3. Carpooling Rentals Ltd 4. Van Distributors Ltd 5. Equipment Distributors Ltd

4. Accounts receivable ageing analysis





The information in the diagrams above has been collated in the table below:

Ageing Category	August 2025 %	November 2024 %
Current	55%	61%
>30 days	22%	24%
>60 days	9%	10%
>90 days	14%	5%

APPENDIX 2 (Section 1)

Ambrosia business performance commentary

New car sales have outperformed plan by 16%. Growth has been driven by electric car sales which have increased in the past two years due to government tax incentives. There are also significant manufacturer rebates that the company receives for any electric car sales. Both the government incentives and manufacturer rebates are due to end in March 2026, which will adversely impact about 40% of Ambrosia's operating cash inflows. It currently is unclear if new incentives will be put in place.

Used car sales have slowed down significantly, particularly diesel-powered vehicles that are over five years old. This is due to the introduction of low emission zones across the major city centres in the northeast of Scotland. This has been a source of concern for management given the stock holding of both used diesel powered cars and spare parts. Spare part sales, impacted by the slowdown in used diesel cars, are down 10% compared to the same period last year. Inventory with a cost of £300k has been written down to its net realisable value as at 31 August 2025 to reflect the slowdown in this segment of the business and the possibility that the parts will need to be sold at a discount.

Ambrosia has experienced significant labour supply challenges in recent years due to a shortage of properly qualified technicians. Brexit has contributed to this shortage. This has resulted in both an increase in overtime for the small pool of experienced technicians and an increase in instances of poor workmanship on repair and service jobs due to the use of inexperienced workforce. Overtime levels have been in line with previous years. The provision for warranty costs and the cost of rectifying faulty repair jobs has been increased by £150k to cater for the expected increase in the number of warranty claims. Ambrosia has made a conscious decision to increase the apprenticeship intake to build a pipeline of maintenance technicians. This has impacted profitability over the past two years but there is an expectation of long-term benefit with future reduction in poor workmanship and associated costs and compensation to customers.

Ambrosia has experienced working capital challenges due to delays in settlement by certain major accounts beyond the standard 90 days credit terms, particularly the city councils who are major customers for service and warranty repairs. The customers themselves have been experiencing cashflow problems. As a result, during the year the company engaged a debt factoring company to manage working capital shortfalls.

APPENDIX 3 (Section 1)

Bubble management accounts extract for year ended 30 June 2025

Bubble operates in a saturated and highly competitive industry. Nevertheless, Bubble has experienced significant growth in recent years, including the current year, as shown in its management accounts below. The exceptional growth has been driven by innovative products and an attractive employee and executive management incentive scheme.

All employees are members of an incentive plan linked to revenue growth under which they share a percentage of revenue for the year. A different plan, the executive management incentive scheme, is in place for the chief financial officer and the chief executive officer. This scheme is focused on meeting profit before tax targets for the fiscal year and the scheme guarantees a bonus of 30% of annual salary.

Bubble has taken out a bank loan during the year to fund a planned strategic expansion into Europe. The bank loan is subject to covenants which are evaluated quarterly with the key metric being a minimum £180k quarterly profit before tax.

Profit and loss account

	Actual			**Budget**	
	2025	**2024**	**Variance**	**2025**	**Variance**
	£'000	**£'000**	**%**	**£'000**	**%**
Revenue	5,374	3,904	38%	4,500	19%
Cost of sales	(3,224)	(2,404)	34%	(2,800)	15%
Gross profit	**2,150**	**1,500**	**43%**	**1,700**	**26%**
Overheads	(950)	(754)	26%	(800)	19%
Profit before tax	**1,200**	**746**	**61%**	**900**	**33%**

END OF SECTION

SECTION 2 (40 marks)

Aggrie

You are an audit manager in a large UK firm. Your audit partner, Harriet Laurance, was approached by Kyle Jones, the finance director of Aggrie Fertilisers Limited (Aggrie) and asked to consider whether the firm would like to be appointed as auditors for the year ending 31 December 2025. Aggrie is a manufacturer and distributor of ammonia, phosphate and complex fertilisers to global independent distributors and wholesalers.

Aggrie operates through three divisions based on geographical location as follows:

- Aggrie Kazakhstan (Kazakhstan): owns a phosphate mine, processes and produces phosphate-based products for the Asian market;

- Aggrie Brazil (Brazil): owns a phosphate mine, processes and produces phosphate-based products for the South American market; and

- Aggrie Europe (Europe): produces ammonia-based fertilisers for the European market at its factory in Scunthorpe, England.

The company's head office, where the finance department is based, is in Scunthorpe.

Harriet has met with Kyle and has provided you with background information on the company (Appendix 1). Harriet has asked you to use this information to evaluate the acceptance risks and recommend further actions that the firm should take, in relation to any identified risks, before the engagement can be accepted. Harriet has stated that the complexity of the group has already been identified as a risk, and so you do not need to include it in your analysis. Harriet remarked that it was great to catch up with Kyle professionally again as they were close friends when they trained as CAs together at the same firm but now only ever see each other at their children's school events.

Harriet has also asked you to prepare notes in which you explain the elements of an engagement letter as per ISA (UK) 210 as part of a presentation to new junior audit staff.

QUESTIONS:

Question 5

Evaluate the acceptance risks, excluding the complexity of the group, in relation to the audit engagement of Aggrie.

(18 marks)

Question 6

Recommend further actions that the firm should take, in relation to any identified risks, before the engagement can be accepted.

(12 marks)

Question 7

Explain the required elements of an engagement letter as per ISA (UK) 210.

(10 marks)

(Total: 40 marks)

APPENDIX 1 (Section 2)

Notes of meeting between Harriet Laurance, audit partner, and Kyle Jones, finance director of Aggrie

Aggrie continues to be profit making and its revenue has increased by 50% over the last five years through a combination of increases in core product prices and expansion into Brazil. Demand for Aggrie's products has increased as farmers, around the world, have sought to improve crop yields. Aggrie products have been developed to ensure that they perform as expected. With correct handling, transport and storage of products this expected performance level should be achieved. A key aim of Aggrie is to produce more sustainable fertilisers via decarbonising its operations.

Harriet noted that the decarbonisation of Aggrie's operations is promoted heavily on the company website and in various publications. Kyle explained that for the 2025 Annual Report the company was planning to include sustainability information within the strategic report. Specifically, Aggrie plans to include its environmental goals including achieving net zero carbon emissions by 2040 and CO_2 equivalent emission reductions.

Production of ammonia produces large amounts of carbon dioxide. As part of its decarbonisation process, the company has incurred significant capital expenditure at the factory in Scunthorpe as it is investing in the construction of a large alkaline water electrolysis plant to produce hydrogen with the end product being 'green ammonia'. Production of green ammonia produces no carbon dioxide. The project, which is estimated to be completed in March 2026, is behind schedule by twelve months. Once completed and in full production, the green ammonia will account for 35% of total production. Due to the delay in completing the water electrolysis plant, the company has no further plans for decarbonising production.

The mine and production facilities in Brazil were purchased at the end of December 2024. Brazil continues to operate using its existing accounting systems in local currency. It will migrate to Aggrie's Enterprise Resource Planning (ERP) system in April 2026. Monthly financial information is sent to the head office and members of the finance function visit the Brazil site on a monthly basis.

There has been some bad publicity via online blogs and local press coverage regarding the Kazakhstan production site as recent water quality tests indicated high levels of chemicals in an adjacent river which are being investigated as the high levels appear to be caused by leakages from the Aggrie Kazakhstan site.

The Aggrie board of directors comprises six members, four of whom are UK based with one based in Kazakhstan and one in Brazil. During 2025 the Kazakhstan-based and Brazil-based members have joined the monthly board meetings virtually. Kyle noted that the Kazakhstan-based director used to attend all meetings in person, but this abruptly stopped at the start of 2025. He also admitted that he has never met the Brazil-based director, who has never visited the UK.

Kyle explained that the previous auditors had resigned as Aggrie had increased in size and the firm could not meet the reporting deadline. For the 2025 year end audit this deadline would be 15 February 2026. Harriet explained that the firm's audit department is very busy during January and February.

END OF SECTION

SECTION 3 (30 marks)

Torcida

You are an external consultant working on Torcida Ltd (Torcida), a manufacturer and supplier of sweets. Torcida has engaged you to provide advice in respect of its internal controls, specifically relating to payroll for weekly paid staff.

Until recently, the manufacturing side of the business was outsourced. Six months ago, Torcida consolidated its supply chain and brought manufacturing in house. All staff employed by the manufacturing side of the business receive an hourly rate and their wages are paid weekly.

The financial controller has provided you with a summary of Torcida's current weekly payroll process (Appendix 1) and has requested that you produce a report which identifies any weaknesses in the payroll process, explains the potential impact of those weaknesses and makes a recommendation as to how those weaknesses should be addressed.

QUESTION:

Question 8

Identify the internal control weaknesses in Torcida's payroll process, explain the potential impact of those weaknesses and make a recommendation as to how those weaknesses should be addressed.

(30 marks)

(Total: 30 marks)

APPENDIX 1 (Section 3)

Summary of the current payroll process of Torcida Ltd provided by the financial controller

The factory is active seven days per week, between the hours of 6am and 10pm. The employees work on a rota system, working four days on, four days off. All staff receive an hourly rate for hours worked, with most staff being paid minimum wage. Staff vary in age from 16 (school leaving age) to 67, but a large proportion of the staff are under the age of 25. The hourly rates have not been reviewed since the manufacturing arm of the business was brought in house.

The staff are required to submit timesheets weekly. These are paper timesheets completed by the employees themselves. There is no formal process for employees to clock in or out on site. The timesheets cover Monday to Sunday. In order to be included in the payroll run, the timesheets must be submitted for processing by 10am on the following Monday. Payroll processing is completed on Monday and wages are paid on Tuesday. If timesheets are not submitted by 10am on Monday, staff are not paid for those hours until the following week.

All timesheets require authorisation by a factory supervisor before processing. Staff are required to present their timesheets to one of the two factory supervisors after their final shift of the week before delivering the timesheets to the payroll department. At least one of the two factory supervisors is on site between the hours of 8am and 7pm, seven days per week.

The HR department is usually responsible for adding all new staff to the payroll system, but due to staff illness, the factory supervisors have been doing this for any new temporary factory staff for the last six weeks.

Temporary staff have been required due to a large order won by the business. Permanent staff have also been undertaking overtime to assist with fulfilling this order. Overtime is paid via an overtime form which is separate from the standard timesheet. Overtime forms do not require authorisation for any overtime under five hours per week. Overtime over five hours per week requires authorisation by the factory supervisor in the same way as the standard timesheet and is presented to the payroll department with the timesheet.

The information from the timesheets and overtime forms is input into the payroll software by one of the payroll clerks and the payment processed by the payroll supervisor, without the information being reviewed by anybody else. The payment process itself is the same as for the monthly payroll, the controls for which have been reviewed and recommendations implemented.

END OF ASSESSMENT